



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Michael and Krystyna Zerger-Daddow
Of

146 Abbott Street
SANDRINGHAM VIC 3191

Prepared on:

28th June 2023

By your Adviser:

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

28/06/2023

Michael and Krystyna Zerger-Daddow
146 Abbott Street
SANDRINGHAM VIC 3191

Dear Michael and Krystyna,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- | | |
|--------------------------------|--------------------------------------|
| ▪ Trust or business structures | ▪ Direct share or property purchases |
| ▪ Taxation | ▪ Legal matters |
| ▪ General insurance | |

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation contribution strategies
- Superannuation structure
- Asset and loan structure
- Overall retirement planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Michael and Krystyna, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your superannuation portfolio and determine appropriate strategies moving forward.
- Consider appropriate superannuation contribution strategies.
- Explore options as to best use of the proceeds of the sale of the Highett property and any remaining surplus cash.
- Place your current and future assets under the most tax effective ownership structure.
- Explore ways in which to maximise your retirement nest egg as you move into the next phase of your life.
- Ensure you have sufficient cash flow in retirement.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	Michael	Krystyna
Surname	Zerger-Daddow	Zerger-Daddow
Gender	M	F
Date of Birth	18/09/1973	03/12/1974
Age Last Birthday	49	48
Marital Status	Married	Married

Employment Details

Employment Status	Full-Time	Full-Time
Occupation	Senior Product Manager	Change Manager
Employer	Just Group	ANZ

Estate Planning

	Michael	Krystyna
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	Yes	Yes
Do you have a Testamentary Trust?	Yes	Yes

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home (Sandringham Property)	\$2,600,000
Total Lifestyle Assets	\$2,600,000

Investment Assets	Value
Highett Investment Property	\$1,800,000
Total Investment Assets	\$1,800,000

Superannuation Assets	
<u>Michael</u>	
Hostplus	\$398,812
<u>Krystyna</u>	
Hostplus	\$239,502
Total Superannuation Assets	\$638,314

Total ASSETS	\$5,038,314
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LIABILITIES

Highett Investment Property Loan 6.59% Variable Interest Only	\$496,532
Sandringham Property Loan 5.54% Variable P&I	\$583,688
Sandringham Property Loan 1.99% Fixed P&I	\$1,438,509
Sandringham Property Loan 6.44% Variable Interest Only	\$455,217
Total Liabilities	\$2,973,946

NET WORTH	\$2,064,368
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Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Michael, based upon your responses to the Risk Profile Questionnaire, it was determined that you have a **Growth** investor risk profile in regard to investments **inside superannuation**.

- A Growth investor typically places a greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- A Growth portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.
- A 'Growth' investor will typically diversify their investment in the following manner:

Australian Shares	43%
International Shares	25%
Fixed Interest	13%
Property	17%
Cash	2%

Krystyna, based upon your responses to the Risk Profile Questionnaire, it was determined that you have a **Balanced** investor risk profile in regard to investments **inside superannuation**. It was also determined that you both have a **Balanced** investor risk profile in regard to investments **outside superannuation**.

- This requires an investments time horizon of between 5 – 7 years and tends to place a more equal level of emphasis on both capital appreciation and asset preservation.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.
- A Balanced investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property). By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2022-23

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	19c for each \$1 over \$18,200
\$45,001 – \$120,000	\$5,092 plus 32.5c for each \$1 over \$45,000
\$120,001 – \$180,000	\$29,467 plus 37c for each \$1 over \$120,000
\$180,001 and over	\$51,667 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2021	\$27,500	\$27,500	\$27,500	\$27,500	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year		Cannot contribute

Superannuation Funds

Michael and Krystyna, you currently have the following superannuation funds:

Michael

Hostplus Super Personal Account – Account Number 830665047

- The fund currently has a balance of approximately \$398,812

Krystyna

Hostplus Super Personal Account – Account Number 831246761

- The fund currently has a balance of approximately \$239,502

Superannuation Accumulation Funds

- You effectively have two options in terms of how your existing superannuation monies are structured:
 - Continue to hold these monies in your existing Hostplus funds.
 - Roll across these superannuation monies to a more actively managed wholesale 'master trust' superannuation accumulation platform.

Investments Within Superannuation

Hostplus Personal Super – Account Number 830665047 (Michael)

Michael, you have a superannuation fund with Hostplus Personal Super invested in the 'Balanced' option.

The asset allocation of your Hostplus Personal Super portfolio is:

Asset Class	% of Portfolio
Australian Shares	21%
International Shares	29%
Property	11%
Other	31%
Fixed Interest / Bonds	3%
Cash	5%
	100%

Current Hostplus Super Portfolio Profile Compared to 'Growth' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for a Growth Portfolio	Deviation
Australian Shares	21%	43%	-22.00%
International Shares	29%	25%	+4.00%
Property	22%	17%	+5.00%
Alternative	3%	0%	+3.00%
GROWTH	75%	85%	-10.00%

Fixed Interest	20%	13%	+7.00%
Cash	5%	2%	+3.00%
DEFENSIVE	25%	15%	+10.00%

Hostplus Super Portfolio Historical Performance at 31/05/23:

	1 year	3 years (p.a.)	5 years (p.a.)
Hostplus Super	3.89%	11.34%	7.08%

Hostplus Personal Super – Account Number 831246761 (Krystyna)

Krystyna, you have a superannuation fund with Hostplus Personal Super invested in the 'Balanced' option.

The asset allocation of your Hostplus Super portfolio is:

Asset Class	% of Portfolio
Australian Shares	21%
International Shares	29%
Property	11%
Other	31%
Fixed Interest / Bonds	3%
Cash	5%
	100%

Current Hostplus Super Portfolio Profile Compared to a 'Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for a Balanced Portfolio	Deviation
Australian Shares	21%	34%	-13.00%
International Shares	29%	20%	+9.00%
Property	22%	14%	+8.00%
Alternative	3%	0%	+3.00%
GROWTH	75%	68%	+7.00%

Fixed Interest	20%	26%	-6.00%
Cash	5%	6%	-1.00%
DEFENSIVE	25%	32%	-7.00%

Hostplus Super Historical Performance at 31/05/23:

	1 year	3 years (p.a.)	5 years (p.a.)
Hostplus Super	3.89%	11.34%	7.08%

Option 1 – Maintain Existing Hostplus Super Funds

Michael

You are invested in the Hostplus Balanced Personal Super portfolio which isn't aligned with your Investor Risk Profile.

The asset allocation of this option is detailed on the previous page.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical longer term average performance associated with your existing Hostplus Super fund is lower than alternative options.

Krystyna

You are invested in the Hostplus Balanced Personal Super portfolio which isn't aligned with your Investor Risk Profile.

The asset allocation of this option is detailed on the previous page.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical longer term average performance associated with your existing Hostplus fund is lower than alternative options.

Option 2 – Master Trust Platforms (Colonial First State)

Your respective investments in the Colonial First State platform would have a specifically modelled portfolio directly in line with your 'Growth' and 'Balanced' Investor Risk Profiles, respectively. The specific underlying funds that make up your individual portfolios would be:

Michael:

Colonial First State Wholesale Personal Super – 'Growth' portfolio

	% of portfolio
Realindex Wholesale Australian Share Value	15.00%
Ausbil Wholesale Australian Active Equity	14.00%
First Sentier Wholesale Australian Small Companies	14.00%
Acadian Wholesale Global Equity Long Short	19.00%
Colonial First State Wholesale Index Global Share	6.00%
Pendal Wholesale Property Investment	8.50%
First Sentier Wholesale Property Securities	8.50%
Acadian Wholesale Defensive income	2.00%
Perpetual Wholesale Diversified Income	13.00%
	100.00%

Performance of the alternative Colonial First State 'Growth' Portfolio' at 31/05/2023:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Wholesale Australian Share Value	15.00%	3.21%	13.81%	8.63%
Ausbil Wholesale Australian Active Equity	14.00%	3.66%	14.96%	8.97%
First Sentier Wholesale Australian Small Companies	14.00%	2.62%	10.21%	9.03%
Acadian Wholesale Global Equity Long Short	19.00%	17.93%	22.07%	14.02%
Colonial First State Wholesale Index Global Share	6.00%	10.60%	10.14%	9.82%
Pendal Wholesale Property Investment	8.50%	-2.85%	6.65%	4.80%
First Sentier Wholesale Property Securities	8.50%	-2.19%	7.41%	4.57%
Acadian Wholesale Defensive income	2.00%	4.37%	1.86%	1.33%
Perpetual Wholesale Diversified Income	13.00%	3.31%	2.47%	1.80%
	100%	5.49%	11.95%	8.12%

Krystyna

Colonial First State Wholesale Personal Super – ‘Balanced’ portfolio (As per your Investor Risk Profile):

	% of portfolio
Realindex Wholesale Australian Share Value	12.00%
Ausbil Wholesale Australian Active Equity	11.00%
First Sentier Wholesale Australian Small Companies	11.00%
Acadian Wholesale Global Equity Long Short	15.50%
Colonial First State Wholesale Index Global Share	4.50%
Pendal Wholesale Property Investment	7.00%
First Sentier Wholesale Property Securities	7.00%
Acadian Wholesale Defensive income	6.00%
Perpetual Wholesale Diversified Income	26.00%
	100.00%

Performance of the alternative Colonial First State ‘Balanced’ Portfolio at 31/05/2023:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Wholesale Australian Share Value	12.00%	3.21%	13.81%	8.63%
Ausbil Wholesale Australian Active Equity	11.00%	3.66%	14.96%	8.97%
First Sentier Wholesale Australian Small Companies	11.00%	2.62%	10.21%	9.03%
Acadian Wholesale Global Equity Long Short	15.50%	17.93%	22.07%	14.02%
Colonial First State Wholesale Index Global Share	4.50%	10.60%	10.14%	9.82%
Pendal Wholesale Property Investment	7.00%	-2.85%	6.65%	4.80%
First Sentier Wholesale Property Securities	7.00%	-2.19%	7.41%	4.57%
Acadian Wholesale Defensive income	6.00%	4.37%	1.86%	1.33%
Perpetual Wholesale Diversified Income	26.00%	3.31%	2.47%	1.80%
	100%	5.10%	10.04%	6.83%

Colonial First State Personal Super – Comparative ‘Balanced to Growth’ Portfolio (75% Growth, 25% Defensive)

To compare the performance of our current ‘model’ portfolio within the Colonial First State (CFS) platform to the Hostplus Super ‘Balanced’ Portfolio more appropriately, we must ensure the asset allocations of the portfolios are comparable.

Below are the performance figures of the alternative CFS Portfolio with 75% of funds invested in 'Growth' assets and 25% of funds invested in 'Defensive' assets.

Performance of the comparative 'Balanced to Growth' Colonial First State Portfolio at 31/05/2023:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Wholesale Australian Share Value	13.00%	3.21%	13.81%	8.63%
Ausbil Wholesale Australian Active Equity	13.00%	3.66%	14.96%	8.97%
First Sentier Wholesale Australian Small Companies	12.50%	2.62%	10.21%	9.03%
Acadian Wholesale Global Equity Long Short	17.50%	17.93%	22.07%	14.02%
Colonial First State Wholesale Index Global Share	5.00%	10.60%	10.14%	9.82%
Pendal Wholesale Property Investment	7.75%	-2.85%	6.65%	4.80%
First Sentier Wholesale Property Securities	7.75%	-2.19%	7.41%	4.57%
Acadian Wholesale Defensive income	4.00%	4.37%	1.86%	1.33%
Perpetual Wholesale Diversified Income	19.50%	3.31%	2.47%	1.80%
	100%	5.32%	11.03%	7.49%

Benefits:

- The comparative alternative portfolio has outperformed your current funds over the longer term.
 - For **Michael**, the Colonial First State Wholesale 'Growth' portfolio has outperformed your fund over the last 5 years by an average of 1.05% per annum, which equates to a combined \$4,188 p.a. (\$20,940 over a five-year period).
 - For **Krystyna**, the Colonial First State Wholesale 'Balanced to Growth' portfolio has outperformed your fund over the last 5 years by an average of 0.41% per annum, which equates to \$982 p.a. (\$4,910 over a five-year period).
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- **You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.**

Replacement of an Existing Product

Michael

Type of Fee or Cost	Hostplus Super	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	<u>Admin. Fee</u> \$110.24	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	\$1,200 p.a.
Investment Costs* – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	1.09% p.a.	0.98% p.a.
Annual average cost – Total \$398,812 investment	\$4,457 p.a.	\$5,108 p.a.

** Please note that the investment costs are built into the unit prices and are reflected within the performance figures of the fund. They are not transactions that are deducted from your account.*

Krystyna

Type of Fee or Cost	Hostplus Super	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	<u>Admin. Fee</u> \$110.24	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	\$720 p.a.
Investment Costs* – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	1.09% p.a.	0.96% p.a.
Annual average cost – Total \$239,502 investment	\$2,721 p.a.	\$3,019 p.a.

**** Please note that the investment costs are built into the unit prices and are reflected within the performance figures of the fund. They are not transactions that are deducted from your account.***

Concessional Superannuation Contributions Carry Forward

Michael and Krystyna, the concessional superannuation contribution cap in previous years was \$25,000 per annum. In the 2021/22 financial year, this cap has increased to \$27,500 p.a.

Carry Forward Concessional Contributions:

- If you have a total superannuation balance below \$500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
 - have a 'total superannuation balance' of less than \$500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
 - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.
- **Michael**, the following concessional contributions have been made to your superannuation fund in recent years:

Financial Year	Michael	Total Allowable Contributions
2019/20	\$22,610	\$25,000
2020/21	\$25,360	\$25,000
2021/22	\$27,393	\$27,500
2022/23	\$27,500*	\$27,500
2023/24	\$27,500*	\$27,500
TOTAL	\$130,363	\$132,500

* Estimated contribution for 2022/23 & 2023/24 Financial Years.

- Michael, you therefore have an approximate total of 'carry forward' contributions from the 2019/20, 2020/21, 2021/22 and 2022/23 years totalling **\$2,137**.

- **Krystyna**, the following concessional contributions have been made to your superannuation fund in recent years:

Financial Year	Krystyna	Total Allowable Contributions
2019/20	\$13,328	\$25,000
2020/21	\$13,769	\$25,000
2021/22	\$13,994	\$27,500
2022/23	\$21,478*	\$27,500
2023/24	\$21,500*	\$27,500
TOTAL	\$84,069	\$132,500

* Estimated contribution for 2022/23 & 2023/24 Financial Years.

- You therefore have a total of **\$48,431** in concessional contributions available to you in the 2023/24 financial year. This includes 'carry forward' contributions from the 2019/20, 2020/21, 2021/22 and 2022/23 years totalling **\$42,431**.

Recommendation:

- **Michael and Krystyna**, as your respective superannuation balances are less than \$500,000 you are eligible to make 'catch up' concessional contributions.
- As both of your taxable incomes are well above \$45,000, you will receive a significant tax benefit in making concessional contributions into super.
- **Krystyna** to consider making salary sacrifices or personal concessional contributions to superannuation up to the maximum limit each year. This would equate to an additional personal contribution of approximately \$6,000 p.a. for Krystyna based on this year's level of contributions.
- **Michael**, you have been making close to the maximum level of contributions allowed each year. There is a small benefit to utilising the catch-up contributions available to you and we would still recommend continuing to ensure you make the maximum concessional contribution allowed each year.

Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to the 47% (inc. Medicare levy) if taken as income.
- **The total income tax saving each year is anticipated to be:**
 - Krystyna **\$2,492**
- **The total income tax saving this financial year if you utilise the 'catch up' contributions available and contribute \$42,431 into Krystyna's super this year on top of the yearly additional personal contributions.**
 - Krystyna **\$19,040**

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Tax Liability – Krystyna

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	\$181,900			
Deductions				
Total deductions		\$0		
TAXABLE INCOME			\$181,900	
Tax Payable before Rebates/Credits				\$52,522
LESS Rebates & Credits				
Rebates				\$0
Total Rebates & Credits				\$0
TAX PAYABLE after REBATES & CREDITS				\$52,522
Medicare Levy				\$3,638
Excess Private Health Insurance Entitlement				\$0
NET TAX				\$56,160

Proposed Estimated Tax Liability (if additional contribution made to reach limit each year)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	\$181,900			
Deductions				
Total deductions		\$0		
Additional Concessional Contribution		\$6,000		
TAXABLE INCOME			\$175,900	
Tax Payable before Rebates/Credits				\$50,150
LESS Rebates & Credits				
Rebates				\$0
Total Rebates & Credits				\$0
TAX PAYABLE after REBATES & CREDITS				\$50,150
Medicare Levy				\$3,518
Excess Private Health Insurance Entitlement				\$0
NET TAX				\$53,668

Note: the additional \$6,000 superannuation contribution will be subject to contributions tax of 15% (\$900). Therefore, total tax incurred will be \$54,568.

Therefore, the overall tax benefit each year is anticipated to be \$1,592 PER ANNUM.

Tax Liability – Krystyna

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	\$181,900			
Deductions				
Total deductions		\$0		
TAXABLE INCOME			\$181,900	
Tax Payable before Rebates/Credits				\$52,522
LESS Rebates & Credits				
Rebates				\$0
Total Rebates & Credits				\$0
TAX PAYABLE after REBATES & CREDITS				\$52,522
Medicare Levy				\$3,638
Excess Private Health Insurance Entitlement				\$0
NET TAX				\$56,160

Proposed Estimated Tax Liability (if catch-up contributions used in one year)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income from employment	\$181,900			
Deductions				
Total deductions		\$0		
Additional Concessional Contribution		\$48,431		
TAXABLE INCOME			\$133,469	
Tax Payable before Rebates/Credits				\$34,451
LESS Rebates & Credits				
Rebates				\$0
Total Rebates & Credits				\$0
TAX PAYABLE after REBATES & CREDITS				\$34,451
Medicare Levy				\$2,669
Excess Private Health Insurance Entitlement				\$0
NET TAX				\$37,120

Note: the additional \$48,431 superannuation contribution will be subject to contributions tax of 15% (\$7,265). Therefore, total tax incurred will be \$44,385.

Therefore, the overall tax benefit from utilising the “carry forward” contributions from the previous four Financial Years’ is anticipated to be \$11,775 this year.

- **Krystyna**, if you contribute the 'carry forward' contributions (\$42,431), along with the maximum annual concessional contributions available to you, the income tax saving over the next four years is anticipated to be **\$26,516**.

**It is assumed existing employer contributions remain the same through these 4 years at \$21,500 p.a.*

	2023/24	2024/25	2025/26	2026/27	Total
Concessional Contribution Cap	\$27,500	\$27,500	\$27,500	\$27,500	
'Carry Forward' Contributions Available	\$42,431	-	-	-	
Carry Forward Contribution	\$42,431	-	-		\$42,431
Additional Concessional Contribution	\$6,000	\$6,000	\$6,000	\$6,000	\$24,000
Total Additional Concessional Contribution	\$48,431	\$6,000	\$6,000	\$6,000	\$66,431
Employer Contribution	\$21,500	\$21,500	\$21,500	\$21,500	
Total Concessional Contribution	\$69,931	\$27,500	\$27,500	\$27,500	
Taxable Income	\$133,469	\$175,900	\$175,900	\$175,900	
Reduction in Income Tax Payable	\$19,040	\$2,492	\$2,492	\$2,492	\$26,516

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Highett Investment Property Sale Proceeds

- Michael and Krystyna, you will be selling your Highett investment property and you expect to achieve a sale price between \$1.8m and \$2.0m. For the purpose of this exercise, we have used a conservative sale price of \$1.8m.
- You also have the following debt structure currently against your properties:

Loan Reference	Property	Fixed/Variable	P&I or I/O	Interest Rate (p.a.)	Loan Amount
#2520	Highett	Variable	I/O until October 2023	6.59%	\$496,532
#2172	Sandringham	Variable	I/O until September 2023	6.44%	\$455,217
#2173	Sandringham	Fixed until October 2024	P&I	1.99%	\$1,438,509
#2174	Sandringham	Variable	P&I	5.54%	\$583,688
TOTAL DEBT					\$2,973,946

Upon sale of the Highett property:

- The debt with loan reference #2520 for \$496,532 will be paid out as this debt is leveraged against the Highett property.
- We recommend paying off the debt with loan reference #2172 for \$455,217 as repayments for this are set to become Principal and Interest beginning in September this year.

After accounting for these two loans to be cleared using a combined \$951,749 of the \$1,800,000 from the Highett property sale, we expect you will have the following approximate surplus funds remaining:

Cash	\$848,251
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Furthermore, the following debt structure will remain:

Loan Reference	Property	Fixed/Variable	P+I or IO	Interest Rate	Loan Amount
#2173	Sandringham	Fixed Until October 2024	P+I	1.99%	\$1,438,509
#2174	Sandringham	Variable	P+I	5.54%	\$583,688
TOTAL DEBT					\$2,022,197

Should your Sandringham property be valued at \$2.6m, the total debt of \$2.022m falls under the 80% Loan to Value Ratio (LVR) required by the Bank.

- As your principal concern is to reduce the pressures of rising interest rates on the level of your debt repayments, we recommend either of the following options in terms of loan reference #2174 for \$583,688:
 - **Option 1** - Pay out the loan in full.
 - The \$583,688 would be paid out in full and no further repayments will be required.
 - You will no longer have access to \$583,688 of the Highett property sale proceeds.
 - **Option 2** – Retain the loan and use part of the Highett property sale proceeds to fully offset this loan.
 - You will still be required to make principal repayments on this loan.
 - No interest will be incurred on the loan as it will be fully offset.
 - You will retain access to the funds as they will be in a bank account offsetting the loan.
- As this element of the strategy requires \$583,688 of the remaining funds from the sale proceeds to be used, this leaves the following surplus funds remaining:

Cash	\$264,563
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- You seek advice with respect to the best use of these funds.

Recommendation:

- Based on our previous recommendations to pay off the two separate loans (#2172 and #2520) and to either pay down or fully offset a third loan (#2174), we recommend to retain these funds and utilise these to assist with the superannuation contribution strategy previously outlined.
- The funds may be retained as cash at bank or invested in a managed fund portfolio.

Investment Structures & Associated Retirement Projections:

Assumptions:

- 10-year period projections (takes you to the ages of 59 and 58).
- Superannuation capital and managed funds increase by 6.0% p.a.
- Cash in bank accrues interest at 3%.
- It is assumed the investment property will be sold at the beginning of the 2023/24 Financial Year for \$1,800,000.
- Michael is expected to work for 10 more years, while Krystyna is expected to work for 7 more years. Contributions into Super will cease from the point each individual stops working.
- Concessional contributions into Super are taxed at 15%.
- Total Capital as at this point is as follows.

Total Super Capital:	\$638,314
Total Net Investment Capital (outside superannuation):	\$264,563
Net Retirement Capital:	\$902,877

Scenario 1:

- Sell Highett Investment Property, reduce debt on recommended loans and retain surplus in cash:

Total Net Super Capital:	\$1,633,941
Total Net Investment Capital (outside superannuation):	\$355,551
Net Retirement Capital:	\$1,989,492

Scenario 2:

- Sell Highett Investment Property, reduce debt on recommended loans and implement recommended contribution strategy into Super:

Total Net Super Capital:	\$1,745,842
Total Net Investment Capital (outside superannuation):	\$292,407
Net Retirement Capital:	\$2,038,249

Scenario 3:

- Same as Scenario 2, but invest the remaining surplus funds into a Managed CFS Investments Fund:

Total Net Super Capital:	\$1,745,842
Total Net Investment Capital (outside superannuation):	\$394,993
Net Retirement Capital:	\$2,140,835

Aside from your Super/Investment capital, you will also retain your residential property, the estimated position of which after 10 years is as follows:

Residential property value:	\$4,235,126
Residential property debt:	\$1,188,706
Residential property equity:	\$3,046,420

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice

Based on these Retirement Capital projections, the following returns would need to be achieved in order for you to satisfy specific annual retirement incomes without eroding any capital:

Scenario	Projected Retirement Capital	Retirement Income Required	Required Annual Return on Capital
1	\$1,989,492	\$60,000	3.02%
		\$100,000	5.03%
		\$150,000	7.54%
2	\$2,038,249	\$60,000	2.94%
		\$100,000	4.91%
		\$150,000	7.35%
3	\$2,140,835	\$60,000	2.80%
		\$100,000	4.67%
		\$150,000	7.01%

What is paid to your adviser

Plan Fee

You have agreed to a fixed fee of \$3,500+GST for preparation, presentation and implementation of this Statement of Advice. This will be invoiced to you.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of \$100 p.m. (Michael) and \$60 p.m. (Krystyna) will apply to the Colonial FirstChoice superannuation portfolios if implemented. This is charged via Fixed Term Agreement, renewable every 12 months.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary.

Appendix B – Retirement Capital Projections

Appendix C – LONSEC Reports
